

Cost-Benefit Analysis: Digital Time Tracking

Costs, benefits, assumptions, risks and recommendation, with ROI and payback calculated

Summary

Prepared by	
Date	
Scope	Which teams and sites
Decision requested	

Current state costs (annual)

Item	Basis	Annual cost
Manual timesheet processing (admin hours x rate)		
Payroll leakage: unrecorded breaks, rounding, early clock-ins		
Buddy punching and time theft		
Unbilled or unallocated hours (if billing clients)		
Errors and corrections (reruns, off-cycle payments)		
Compliance exposure (overtime, break records)		

Digital option costs (annual)

Item	Basis	Year 1	Year 2 and 3
Software subscription (per user per month x users x 12)			
Hardware (kiosks, clocks)			
Implementation and integration			
Training (hours x rate)			
Ongoing administration			
Change management and support			

Benefits (annual)

Benefit	Basis	Year 1	Year 2 and 3
Admin hours saved			
Leakage recovered			
Billing recovered			
Overtime visibility and reduction			
Faster payroll close			
Audit and compliance			

Assumptions

Assumption	Value	Source	Confidence

Risks and mitigations

Risk	Likelihood	Impact	Mitigation
Employee resistance to monitoring			
Integration with payroll fails			
Benefits assumed too high			
Notice or consent obligations missed			

Recommendation

Net annual benefit	
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Payback period	
Three-year ROI	
Recommendation	
Approved by	